Revision Date:
February 1, 2025

Background:
An overpayment is any amount of any aid payment received by an Assistance Unit (AU) that they were not entitled to receive. An overpayment may be all, or a portion, of the payment. This includes payments issued for regular aid payments, Immediate Need, Homeless Assistance (HA), or Aid Paid Pending (APP) for a state hearing.

Purpose:
The purpose of this section is to provide investigation of overpayment requirements. This material revision is for Sunset Date review. No policy or procedure changes have been made.

Policy:
Apparent Eligibility
When CalWORKs and/or HA benefits are issued as an Immediate Need payment, based upon a determination that the AU is apparently eligible, and later it is discovered that the AU is not CalWORKs eligible, the existence of an overpayment will depend on whether the AU was eligible to CalWORKs when the payment was issued.

Refer to CalWORKs Program Guide (CPG) 40-100.K for additional information.

Income
Income-related failure to report and county error overpayments will be determined based on the mandatory recipient reporting requirements under Semi-Annual Reporting (SAR) (CPG 44-270) and Annual Reporting/Child Only (AR/CO) (CPG 44-260) rules. Mandatory recipient reports include reporting on the SAR 7 Eligibility Status Report, the mandatory mid-period report of income over the Income Reporting Threshold (IRT), and customer reports on redetermination.

If an AU fails to report income any time they are required to report, or staff fails to act correctly on a report, staff will:
- Recalculate the benefits based on an accurate report and correct the county action.
- Recreate case circumstances using the correct processing timeframes based on what the AU should have reported.

If an overpayment results from this calculation, except as noted under CPG 44-350.A, the overpayment will begin as of the date that the change should have been made.

Refer to CPG 44-350.F for more information.

Property
AUs are required to report property changes only on the SAR 7 or at redetermination. No overpayment will be assessed for any months in which the AU was over the property limit but was not required to report property, including property that first exceeded the limit in the Submit Month.

- Property eligibility will be determined once per payment period, based on information provided on the SAR 7 or at redetermination.
- AUs are required to report only when property exceeds the limit in the (SAR) Data Month.
- If the property reported on the SAR 7 or at redetermination, together with property already used to establish eligibility, does not exceed the property limit, the AU is considered property eligible for the entire upcoming payment period.

If an AU owned property that exceeded the resource limit in the Data Month of the payment period, and failed to report it on the SAR 7 or at redetermination, staff will redetermine the benefits the AU should have received based on an accurate report and correct county action, including a determination of whether the excess property (and failure to report it) was in good faith.

However, if staff failed to act correctly on a report of property that was determined to exceed the limit, the assumption will be made that the AU would have spent down the resources prior to the discontinuance, and would have remained eligible. In this case, no overpayment will be established.

If excess property was held in good faith, the amount of the excess property overpayment will be the lesser of:
- The amount by which the excess property exceeded the property limit in the one month the property had the highest value.
- The total amount of aid the AU received while they were over the property limit.

Refer to CPG 44-350.F for more information.

<u>Failing to Report Property and Resources</u>
The AU must report all new property acquired since the last SAR 7 or redetermination. If the AU owned property that exceeded the property limit in the Data Month of the payment period and failed to report it on the SAR 7, or at redetermination, the benefits will be recalculated and an overpayment will be established.

<u>Late SAR 7</u>
An overpayment will be established when an AU submits a late, or incomplete, SAR 7 resulting in the receipt of more benefits than they were entitled to, because of the inability to issue 10-day notice.

If the AU voluntarily reported an unverified change mid-period, and that change is not included on their next SAR 7, staff must attempt to resolve the discrepancy. If staff cannot, the SAR 7 must be considered incomplete. If the discrepancy is resolved late in the submit month, and staff does not have time to issue 10-day notice of decreased benefits, benefits must be released at the higher level, and an overpayment assessed.

The type of overpayment (Agency Error or Customer Error) will be based on the specific circumstances leading to the late/incomplete reporting by the AU, or late processing by staff:
- If the AU provides the SAR 7 too late for a 10-day notice, the resulting overpayment is considered a Customer Error overpayment, not an Agency Error overpayment.

- However, if the AU reported timely, completely, and accurately, but staff was unable to issue the correct grant amount due to the 10-day notice requirement when processing the SAR 7, this will result as an Agency Error overpayment.

Refer to CPG 44-350.A for more information.

Note: To avoid overpayments when a 10-day notice cannot be provided, if the AU signs a waiver (waiving their right to 10-day notification) to reduce the benefits, no overpayment will be established.

Procedure:

- Review the eligibility and grant factors to find what the correct grant amount should have been, and determine the apparent cause of the overpayment.
- Calculate the overpayment.
- Determine from whom (the liable individual) the overpayment may be recovered.
  Refer to the following sections under CPG 44-350.G for additional information:
  - Priority of Recovery.
  - Child Only Cases.
  - Minors in Overpaid Assistance Units.
- Determine the recovery method and the amount to be recovered.
- If appropriate, initiate any referrals to Bureau of Public Assistance Investigations (BPAI) for an investigation. Refer to CPG 20-000.A for fraud criteria.

References:
All County Letter (ACL) No. 16-120, 18-26.

Sunset Date:
This policy will be reviewed for continuance by February 28, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services